



# KCB GROUP PLC INVESTOR PRESENTATION.

## **H1 2018 FINANCIAL RESULTS**



**KCB**

# **MACRO-ECONOMIC HIGHLIGHTS**

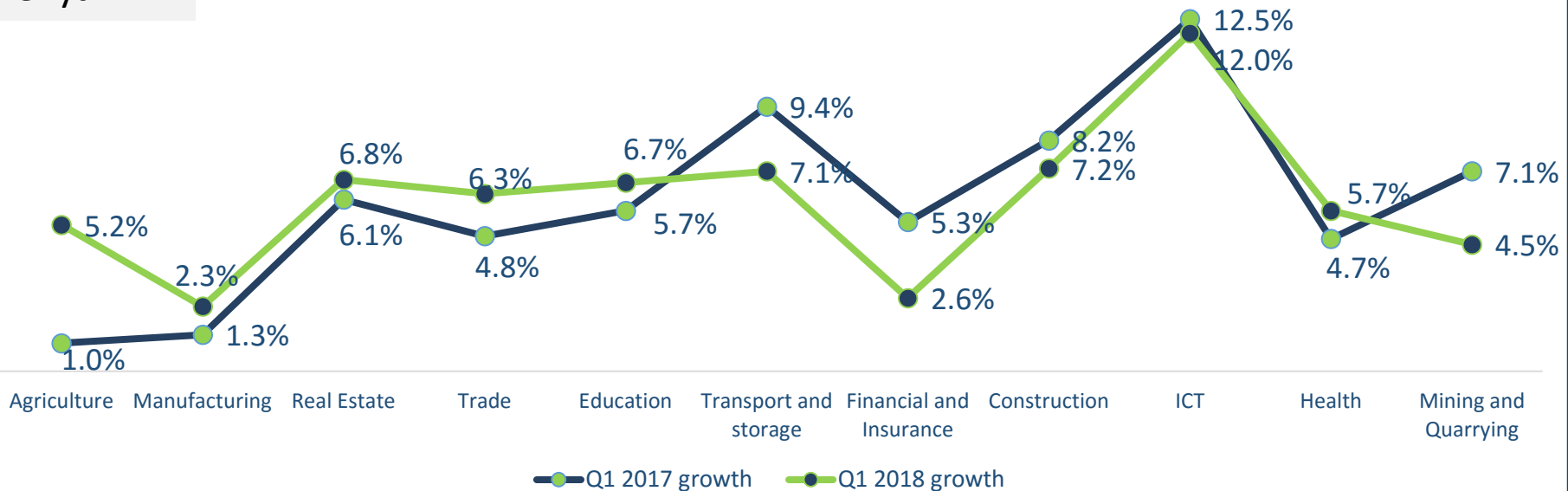
# Macro-Economic Highlights

Kenya

GDP Growth Rate (%)



Kenya

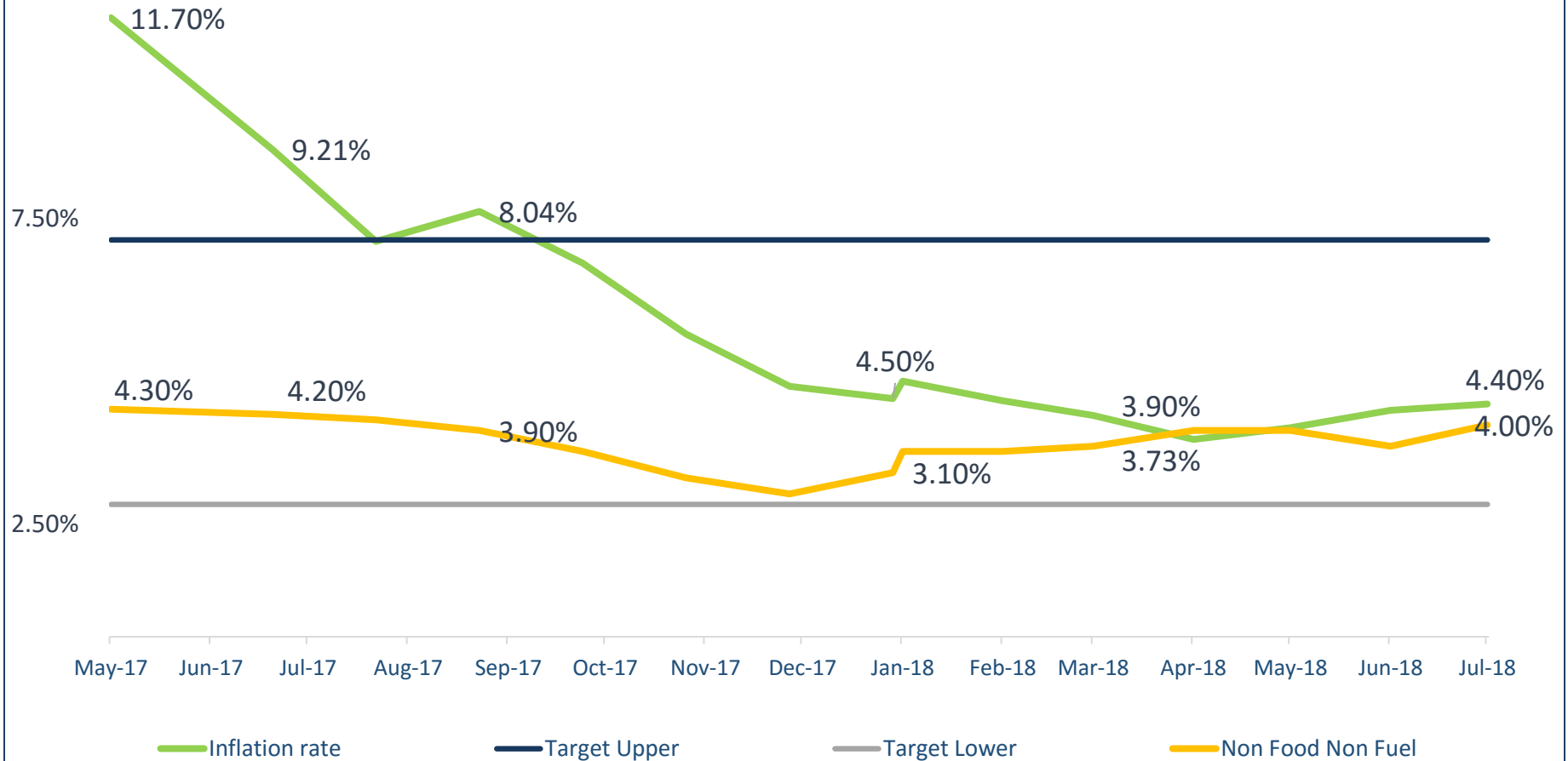


Source: CBK, WB

# Macro-Economic Highlights

Kenya

Inflation

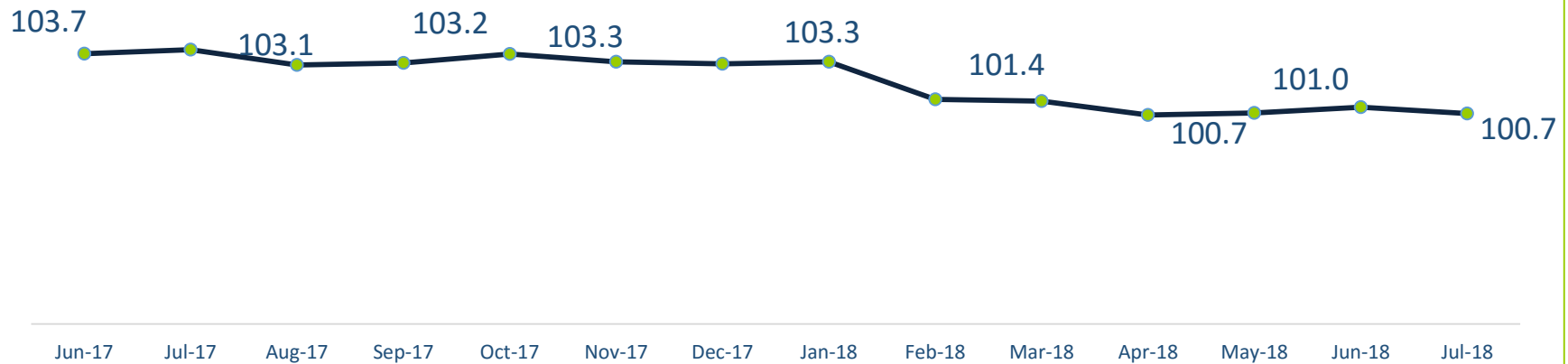


Sources: CBK, KNBS

# Macro-Economic Highlights

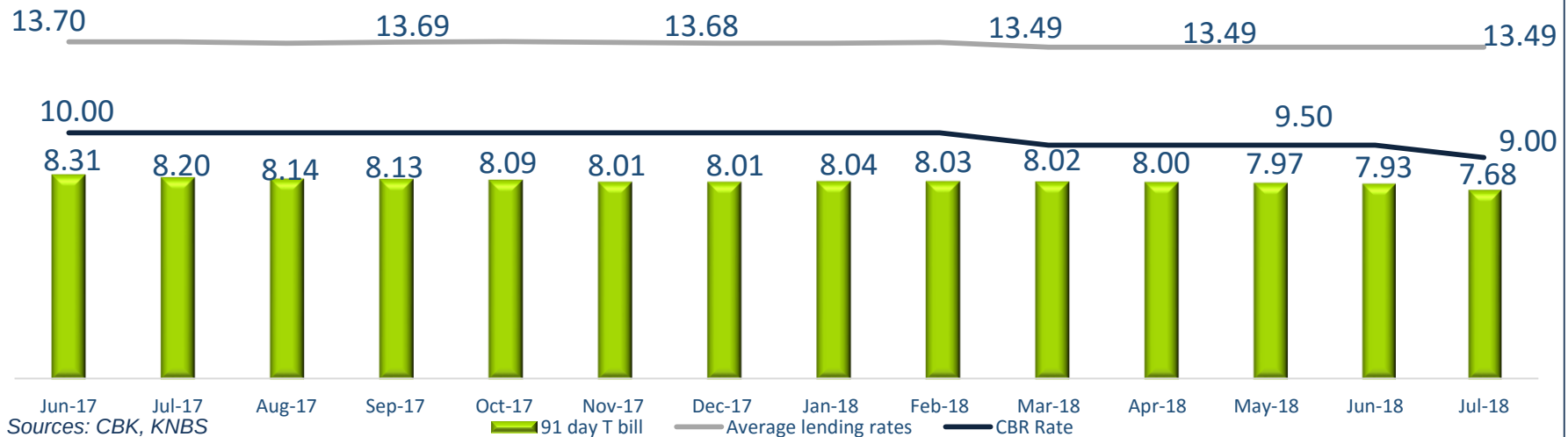
## Kenya

### KShs/USD Exchange Rate



## Kenya

### Interest Rate Evolution (%)



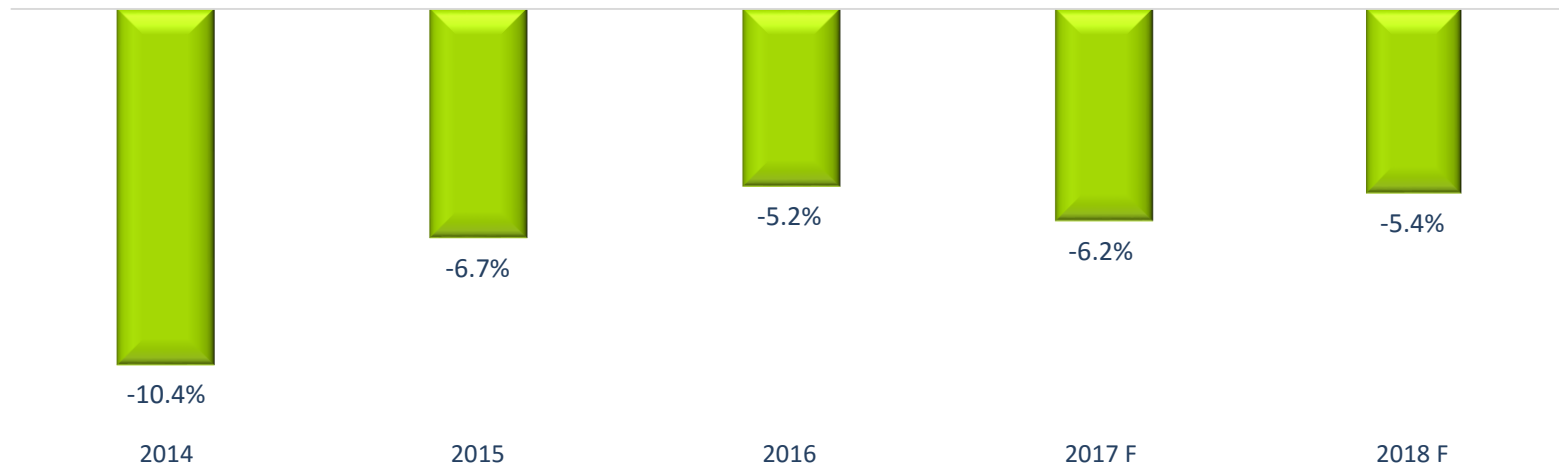
Sources: CBK, KNBS

91 day T bill Average lending rates CBR Rate

# Macro-Economic Highlights

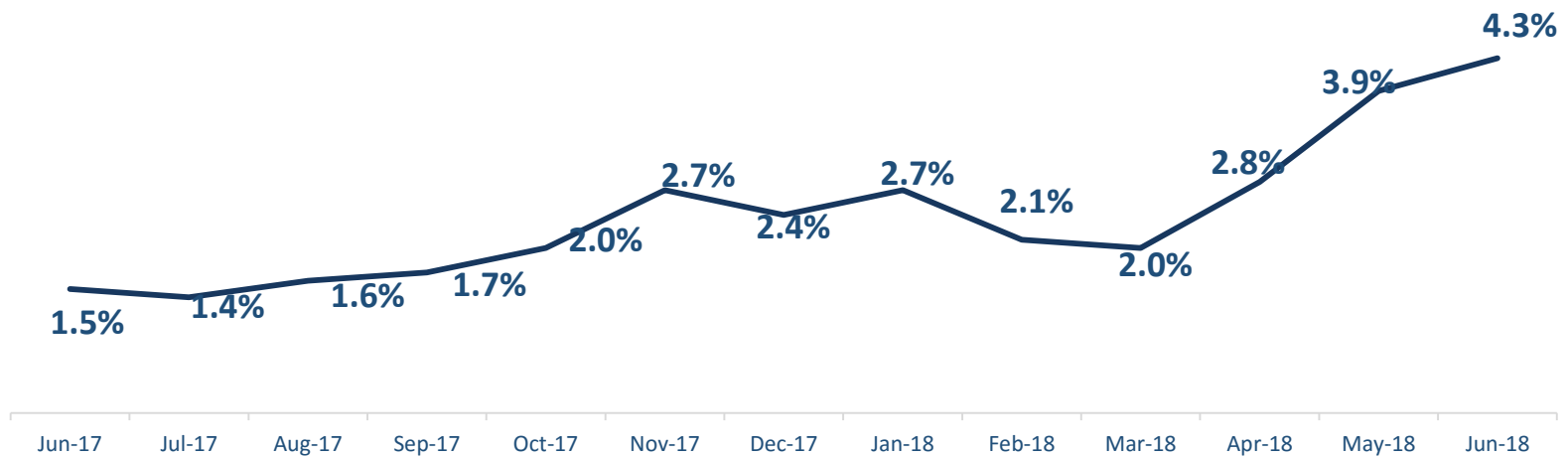
## Kenya

### Current Account Balance (% of GDP)



## Kenya

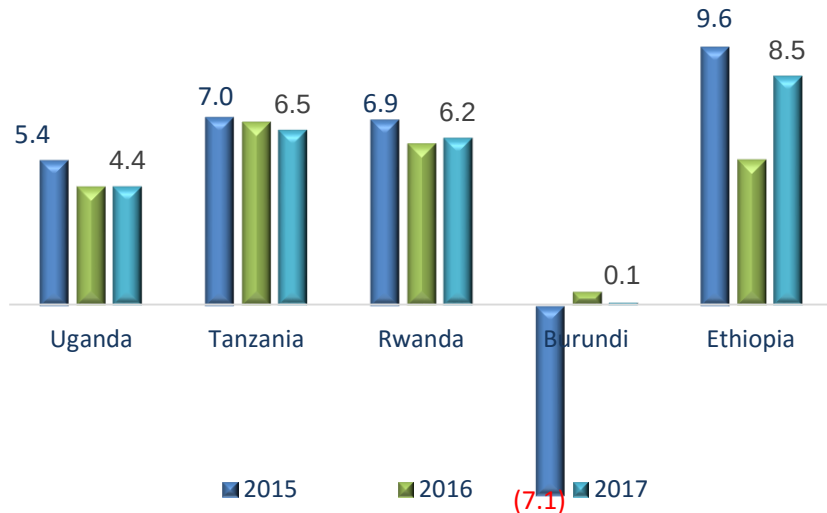
### 12 Month Private Sector Credit Growth



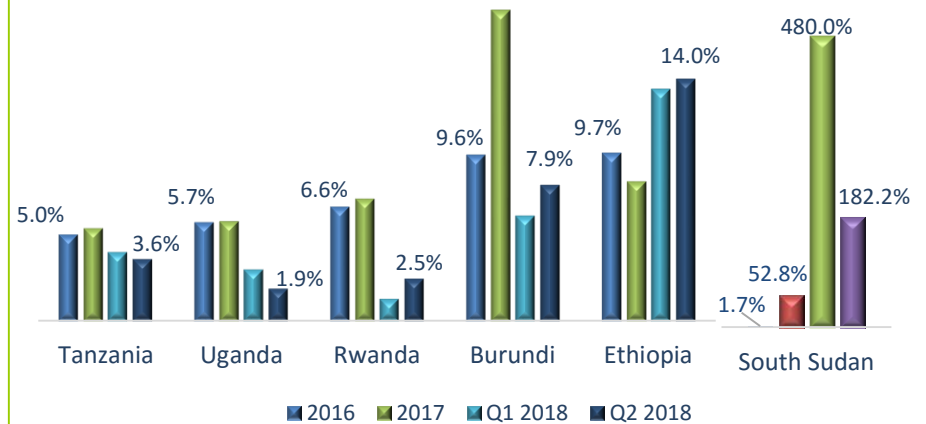
Source: CBK

# Macro-Economic Highlights: Regional

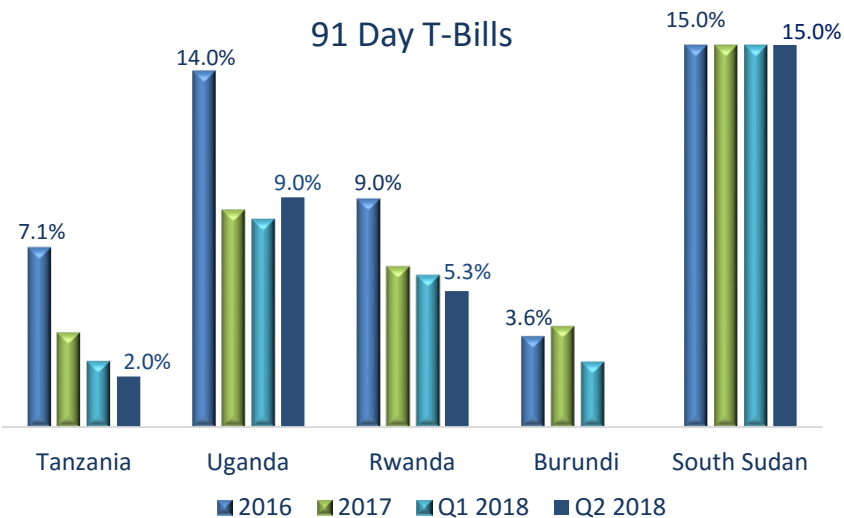
## GDP (%)



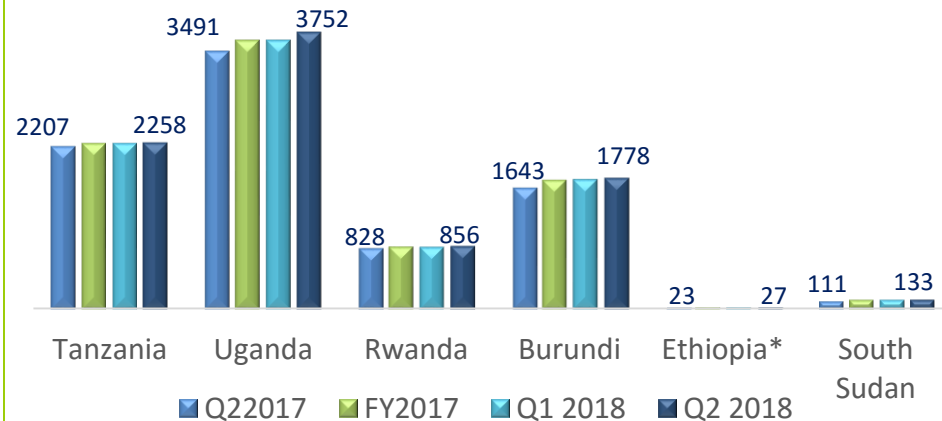
## Inflation



## 91 Day T-Bills



## Exchange Rates to USD



Sources: IMF, Bloomberg



**KCB**

# **2018 HIGHLIGHTS**



# Overview of the year to date

## Finance Bill:

- Interest rate cap repeal
- Debate of the financial market conduct authority
- Robin hood tax

## Political Climate:

- Goodwill from the “*Handshakes*”
  - Kenya
  - South Sudan

## Economic drivers:

- Big Four – Housing Healthcare Manufacturing Food security
- Record growth in diaspora remittances, tourism, horticulture key to stability of the shilling

## Adoption of IFRS9

- Impact on capital ratios
- Grace period provided by the Central bank of Kenya
- Impact on the loan book and provisions

# Awards and recognition

**S&P Global**  
Ratings

**B+**

**MOODY'S**

**B+**

**Fitch**Ratings

**B+**

Best Practice in  
Sustainable Finance



Best Retail Bank  
in East Africa



# KCB Foundation Interventions



Provision of assistive devices and learning material to 47 **students living with disabilities**

Scholarship offering to 47 students living with disabilities in partnership with the Kenya Institute of Special Education & MPESA Foundation Academy



Over 5,500 beneficiaries in groups and individuals have accessed **business development support**

Loans valued at over KShs 70 million have been disbursed to over 326 entities



# KCB Foundation Interventions



Livestock value chain in Dairy, Meat, Honey and Fish.

Loans of over KShs 100M to 34 Co-operatives

RFID tagging for over 39,000 for livestock identification and traceability

45% increased milk production



Over 1,500 secondary student scholarships countrywide since 2005

Secondary education fees, stipend and allowance to 240 students



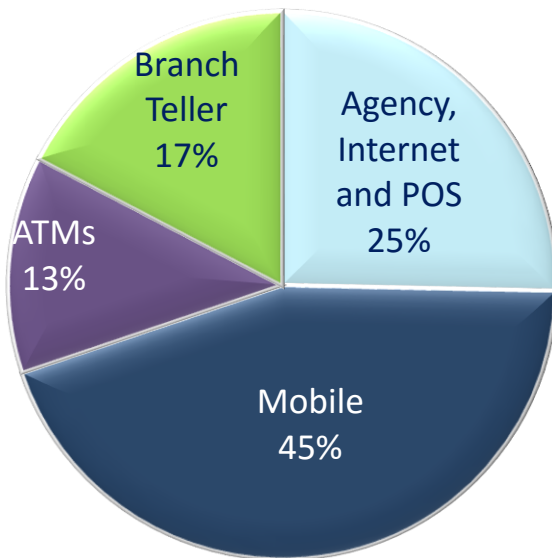
Training of youth in a 3-month innovative **hydroponics farming** initiative mainly producing leafy vegetables, tomatoes, strawberries and livestock fodder among other food crops.



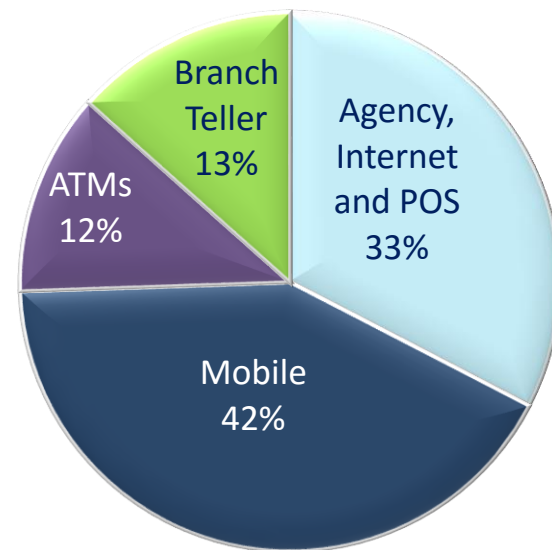
# OUR CHANNEL CONTRIBUTION

# 87% of transactions performed outside the branch

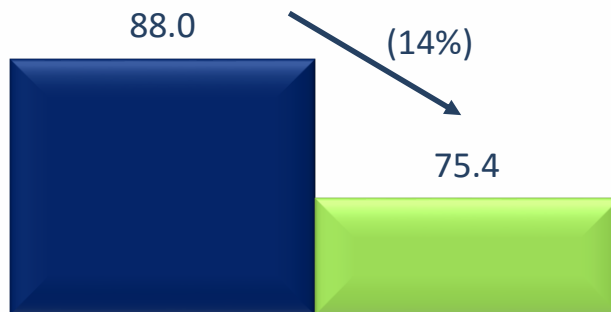
JUNE 2017



JUNE 2018

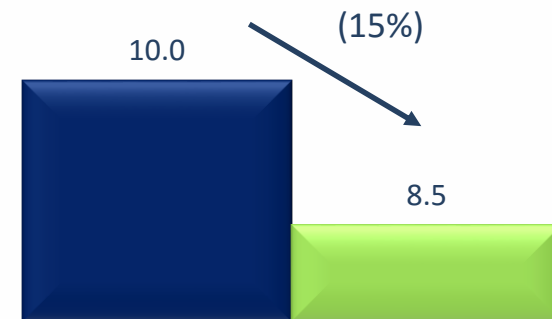


Avg. Transactions / Teller per day



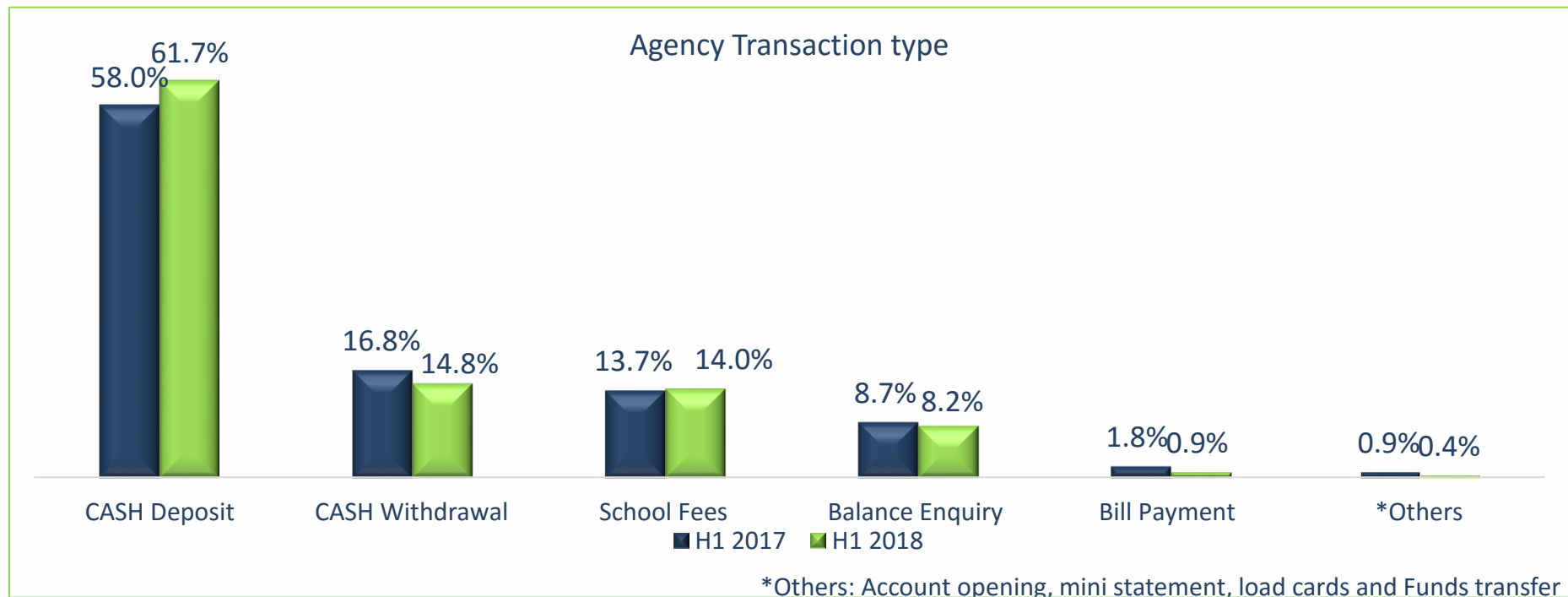
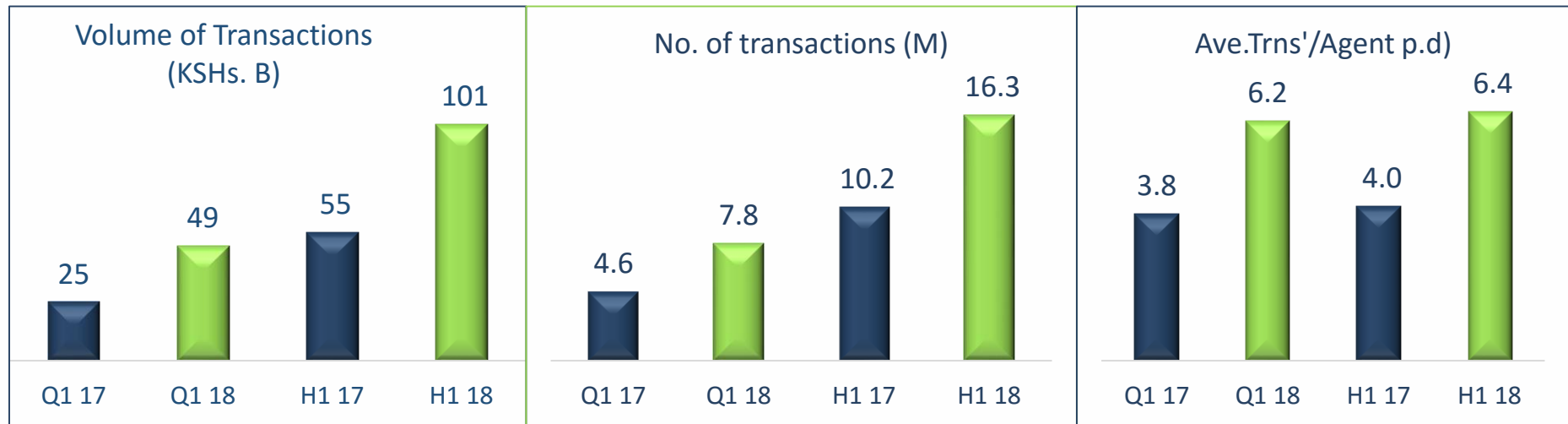
■ HY 2017 ■ H1 2018

Number of Branch Transactions (M)



■ HY 2017 ■ H1 2018

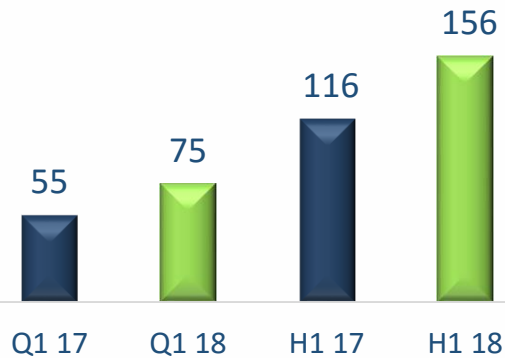
# Agency banking: 84% growth in volumes



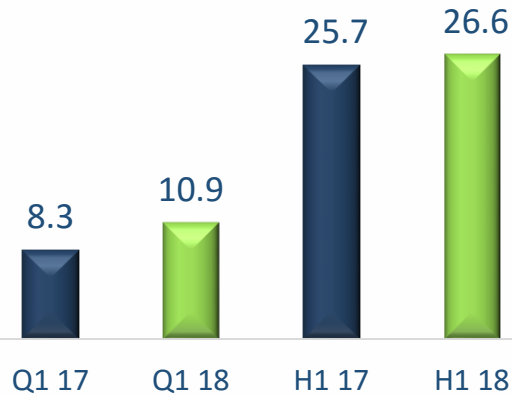
\*Others: Account opening, mini statement, load cards and Funds transfer

# Mobile banking: 34% growth in volumes

Volume of Transactions  
(KShs. B)



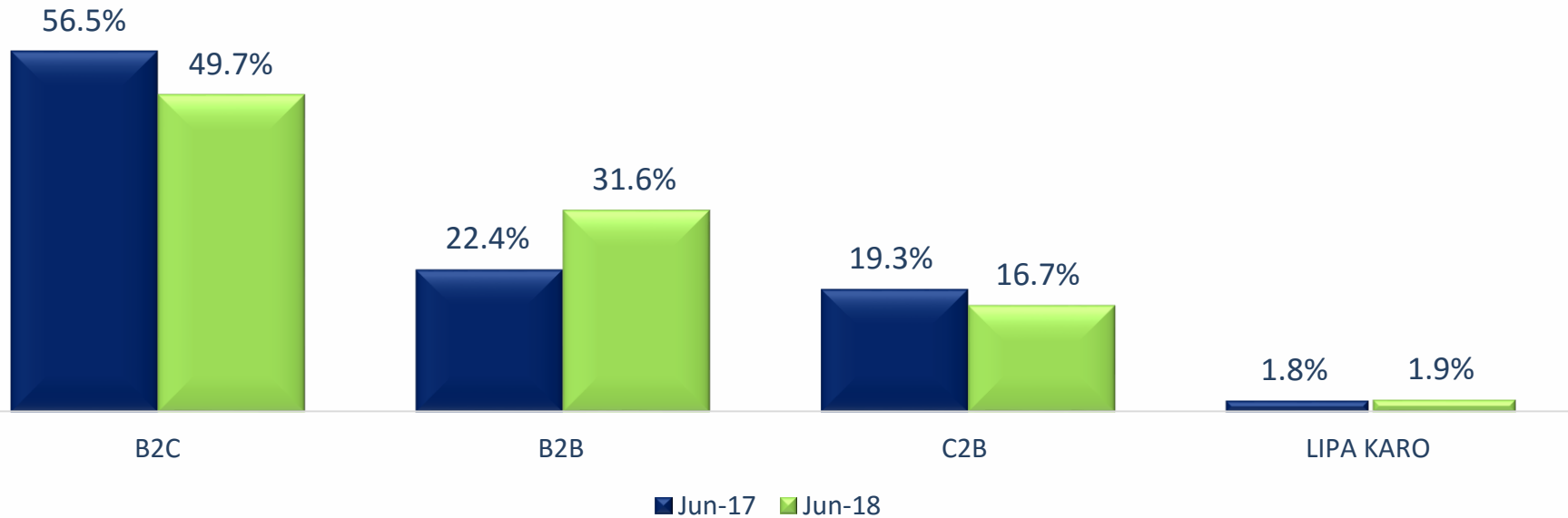
Number of Transactions (M)



Av. Transaction/ active customer/mobile



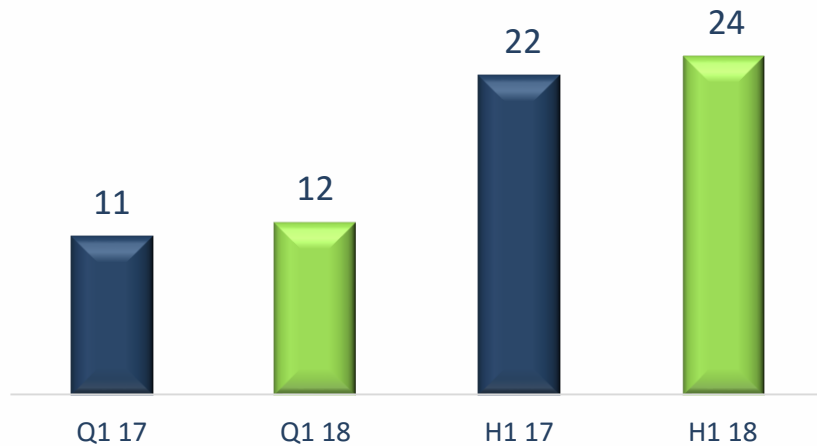
Mobile Transaction Types



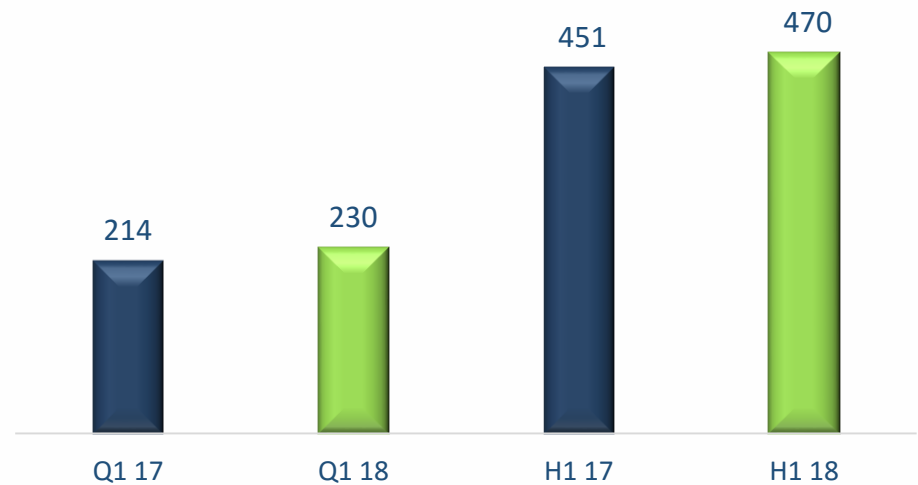


# 10% growth in the average value per POS transaction

Volume of Transactions  
(KShs B)

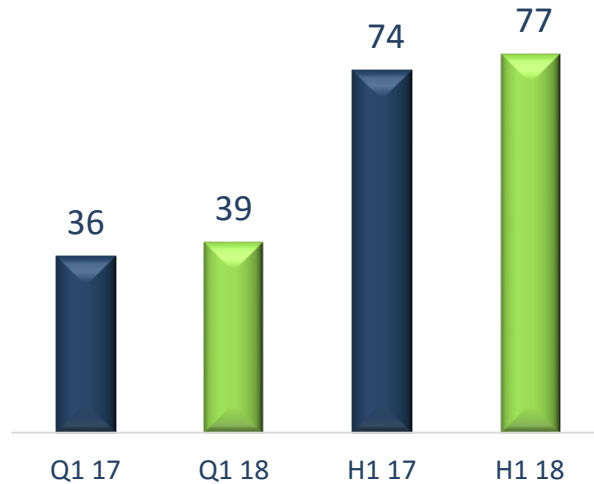


POS Revenue

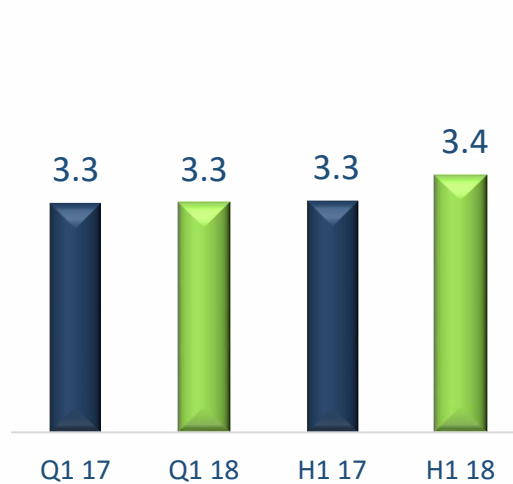


# 4% growth in ATM volumes

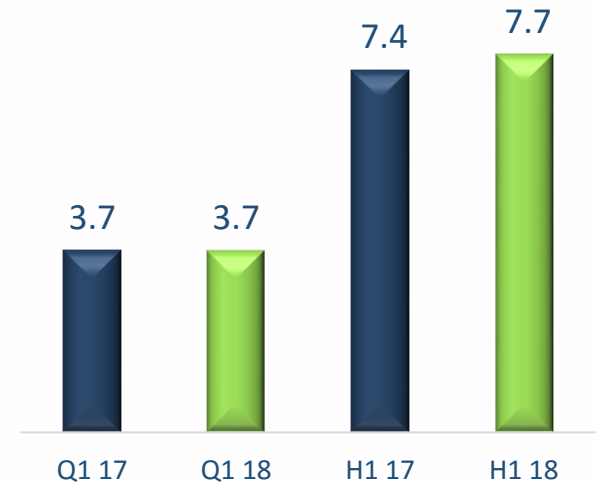
Volume of Transactions  
(KShs. B)



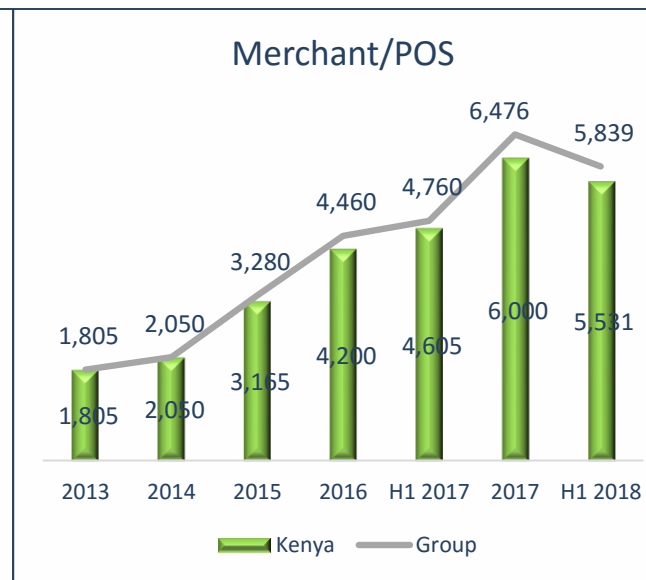
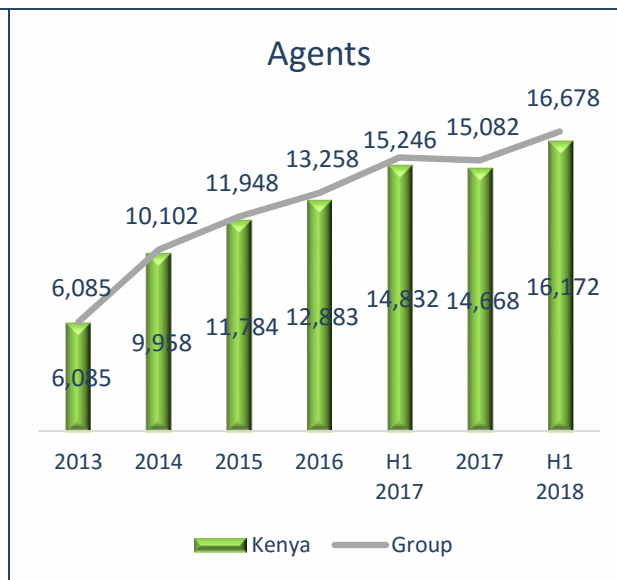
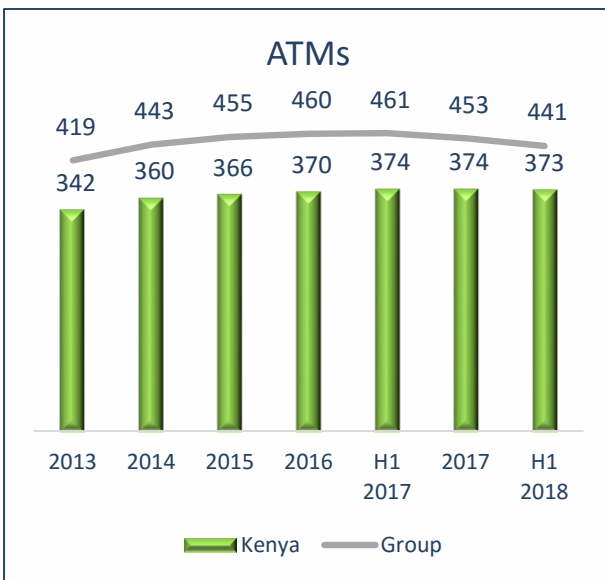
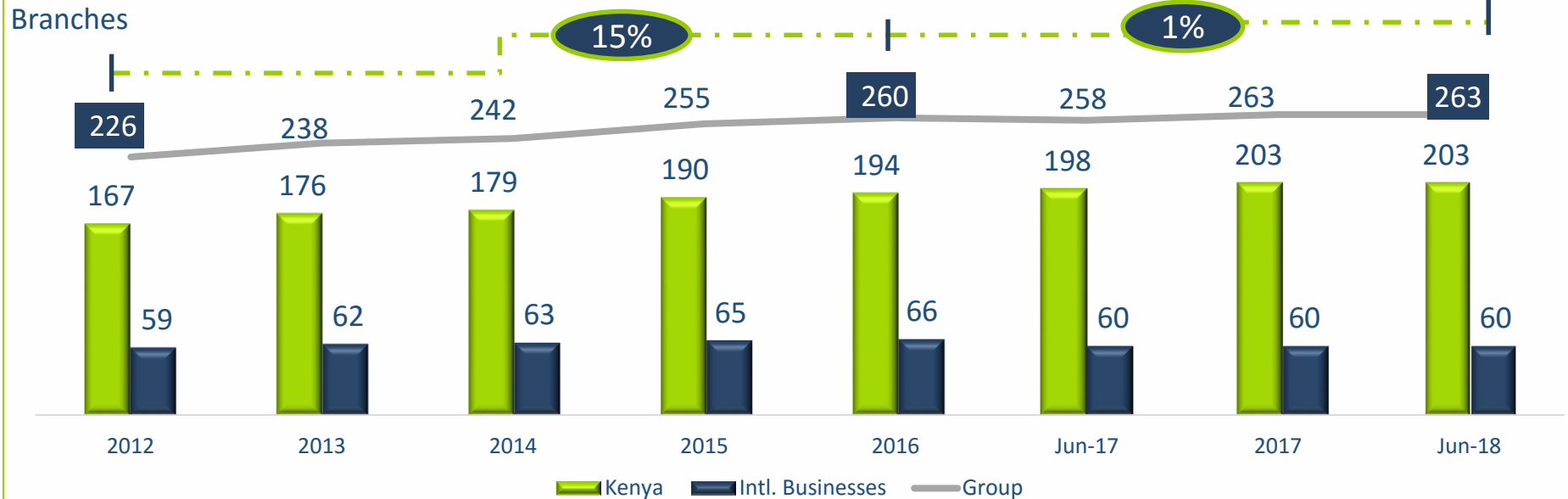
Ave.Trns'/ATM p.m



Number of Transactions (M)

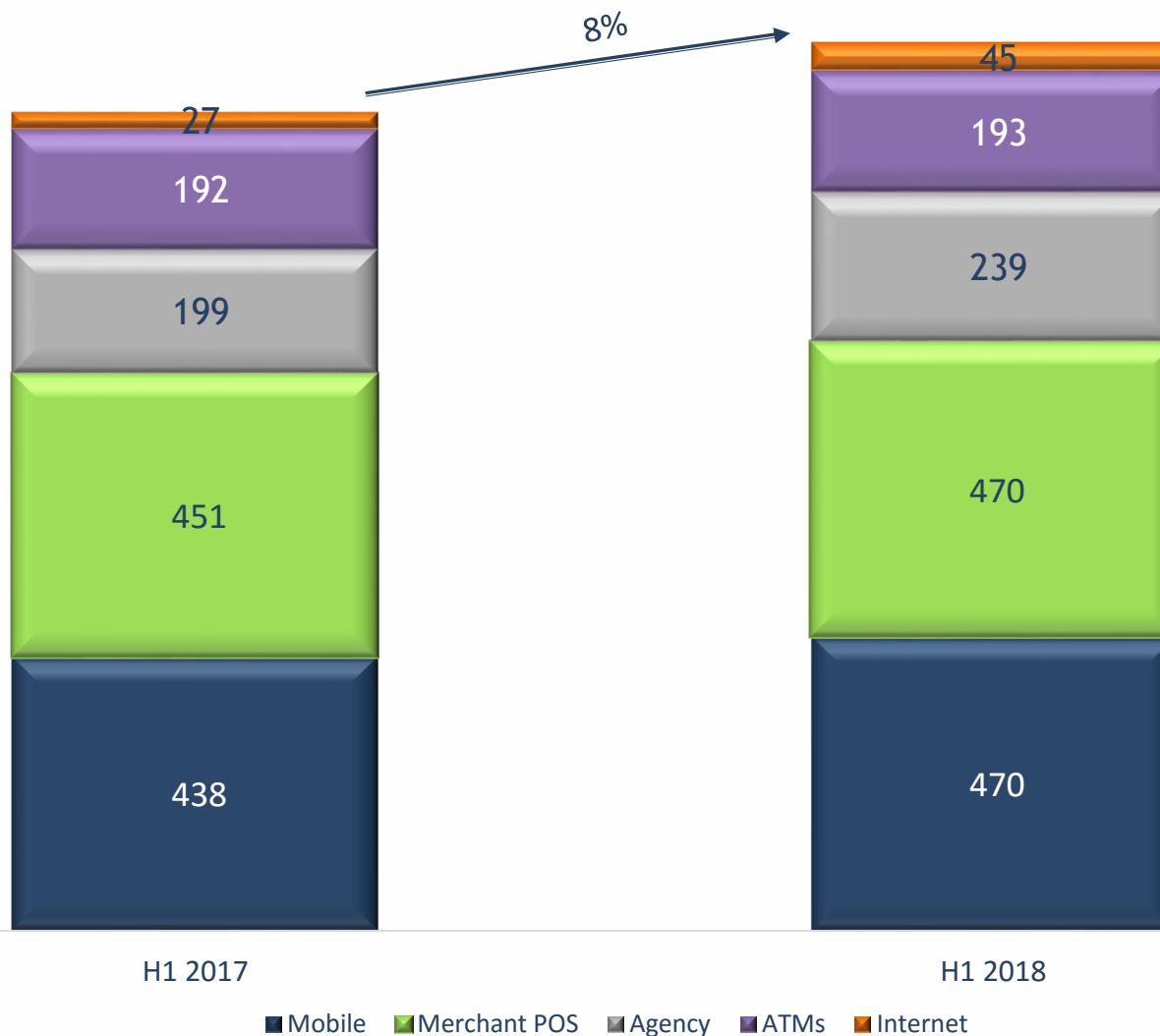


# Channel Development



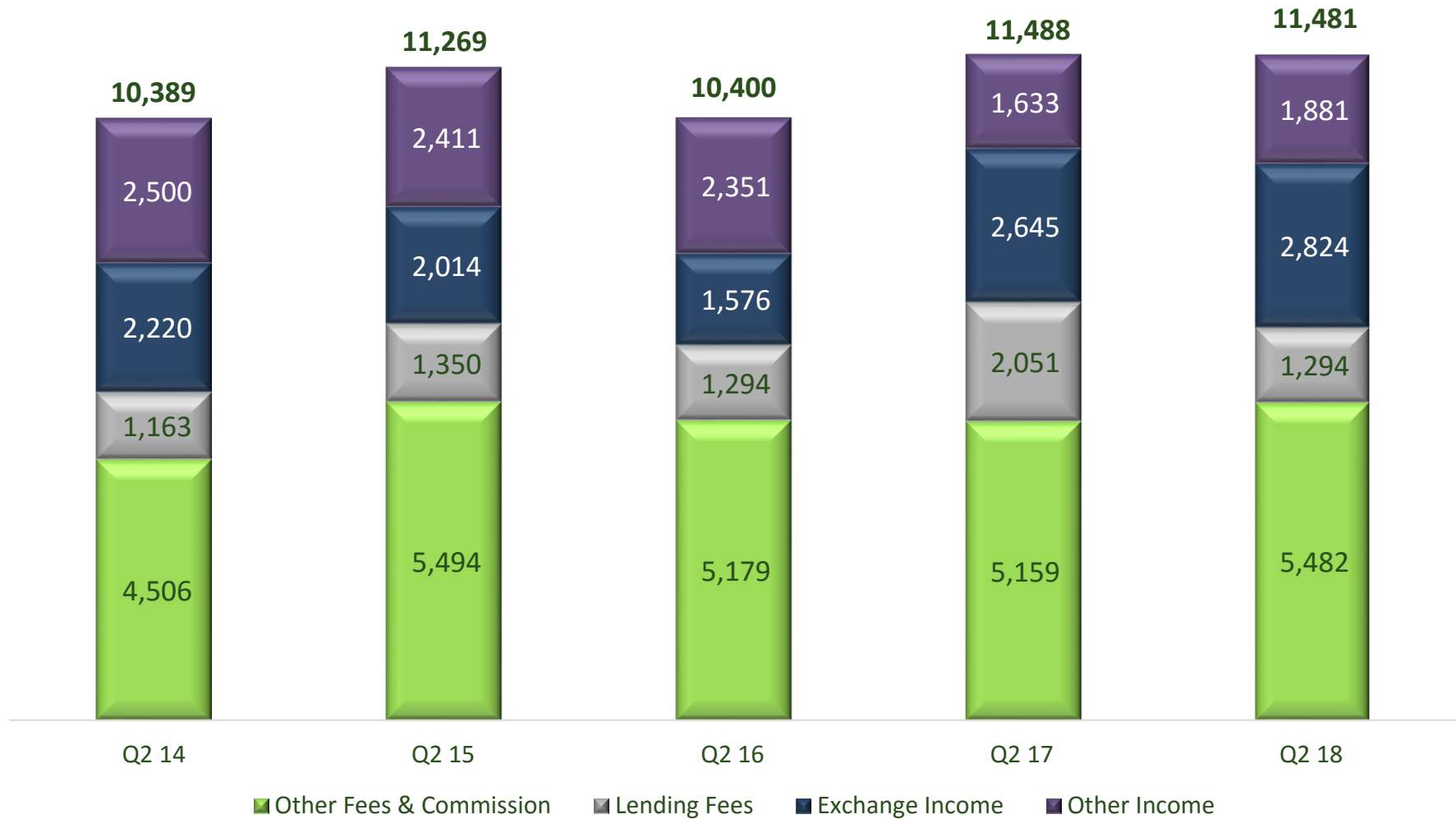
# Over KShs 1.4B in revenue from non-branch channels

KShs: M



# Non-Funded Income Mix

KShs: M





**KCB**

# **OUR FINANCIALS**

# Total Assets growth of 6% despite impact of IFRS 9

## KCB Group

Net Loans and advances

**up 4%**

KShs: 421B

Investment in Govt. Securities

**down 3%**

KShs: 113B

**Group Asset Portfolio up 6%**

KShs: 668B

Cash and Balances with Central Bank and other Financial Institutions

**Up 17%**

KShs: 87B

Fixed and other Assets

**up 40%**

KShs: 47B

## KCB Bank Kenya

Net Loans and advances

**up 3%**

KShs: 387B

Investment in Govt. Securities

**down 5%**

KShs: 97B

**KCB Bank Kenya Asset Portfolio up 8%**

KShs: 583B

Cash and Balances with Central Bank and other Financial Institutions

**up 58%**

KShs: 60B

Fixed and other Assets

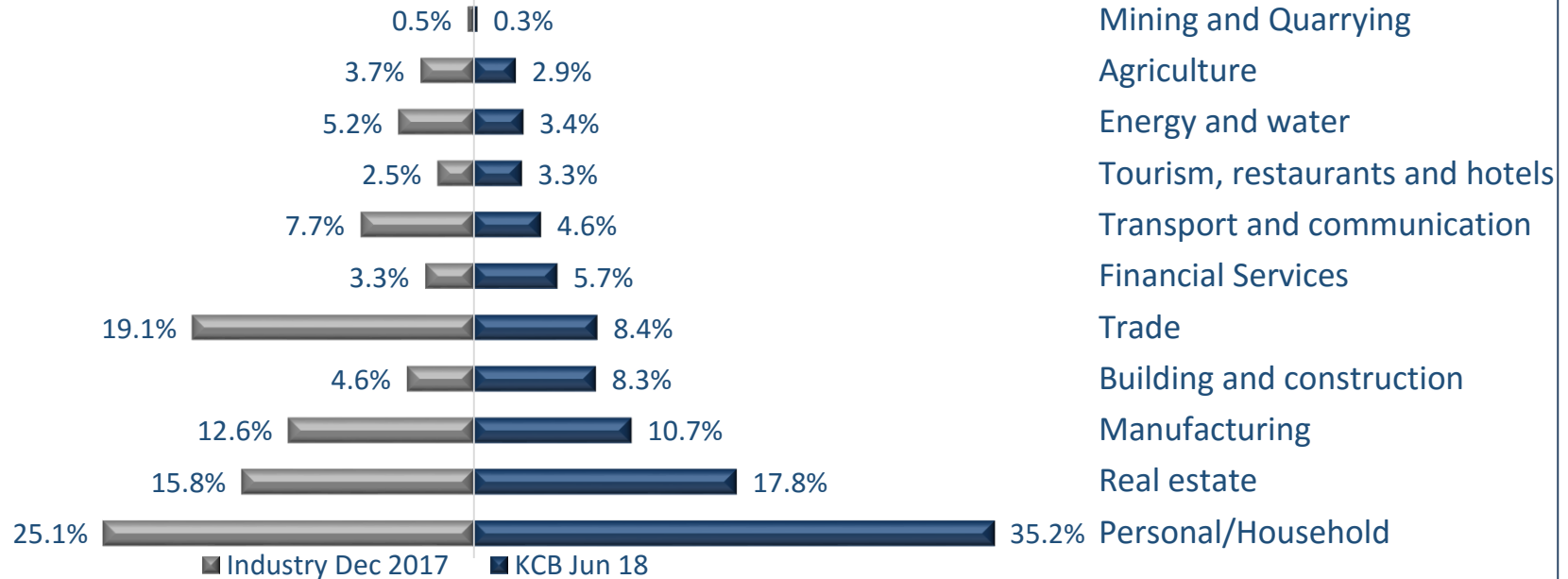
**up 49%**

KShs: 39B

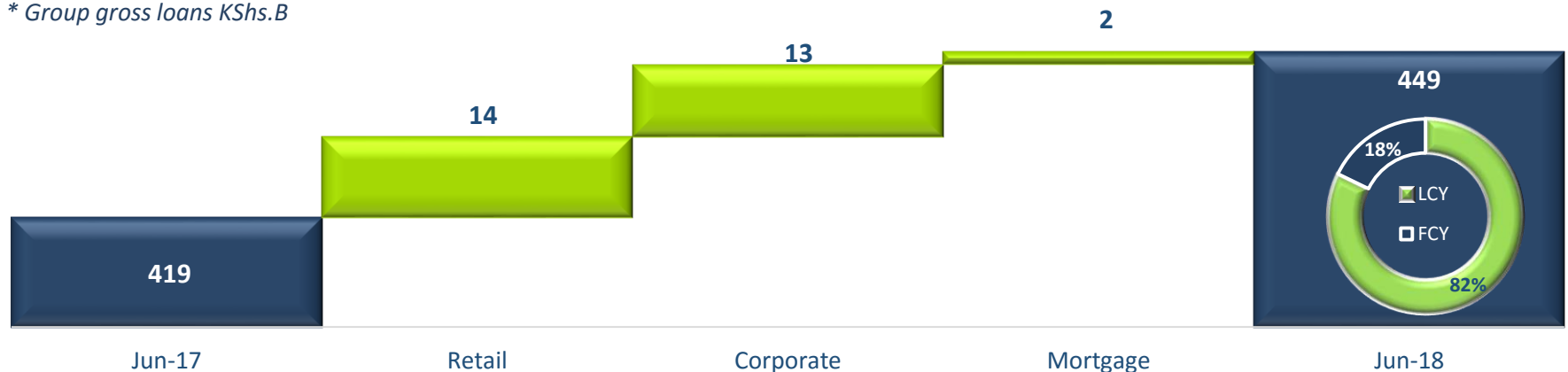


# Diversified loan portfolio

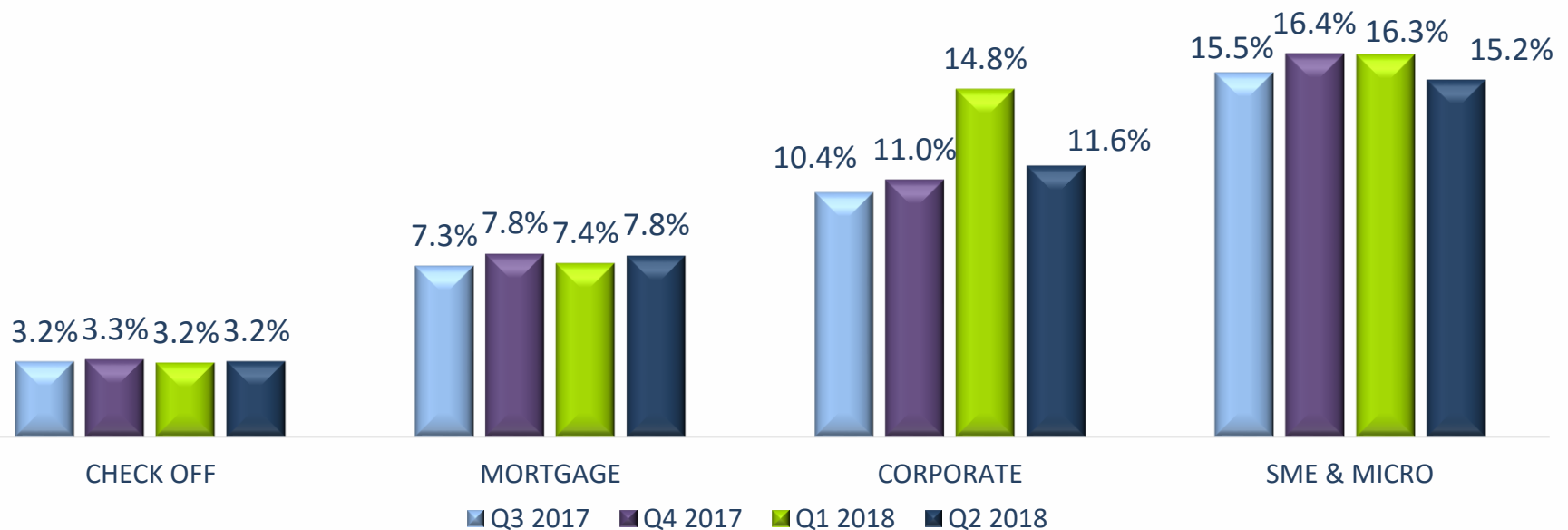
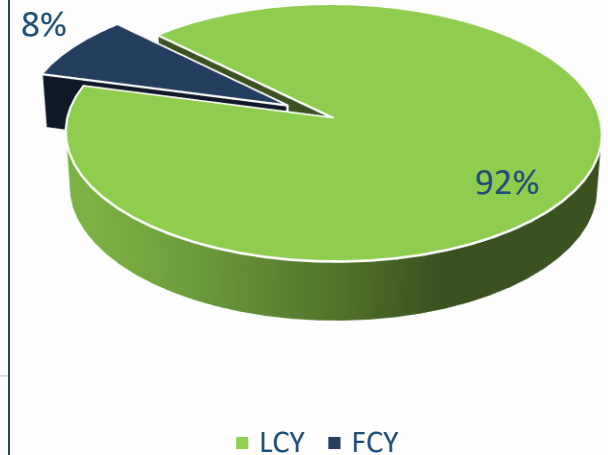
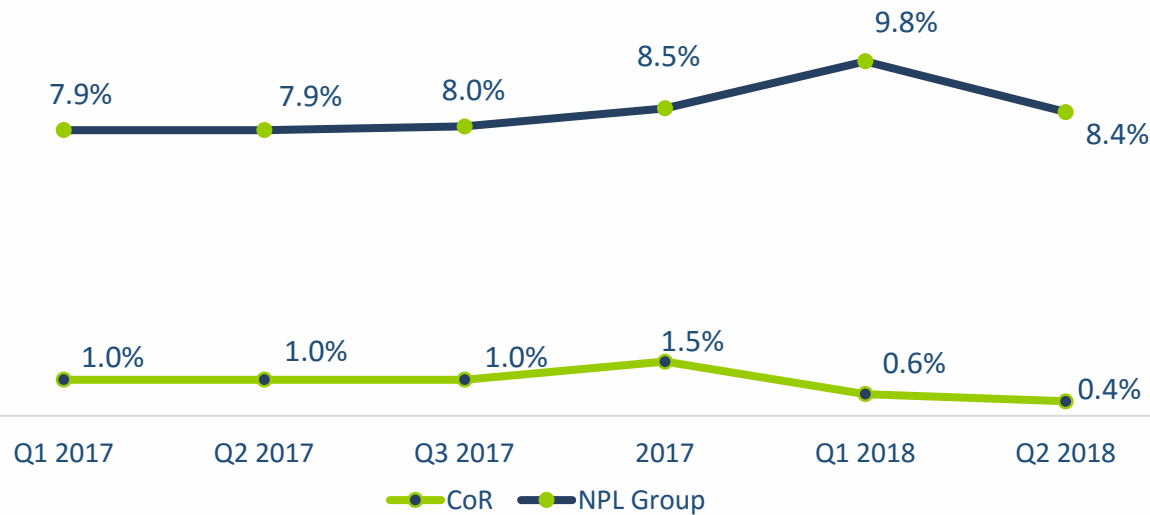
## Sectoral loan book comparison



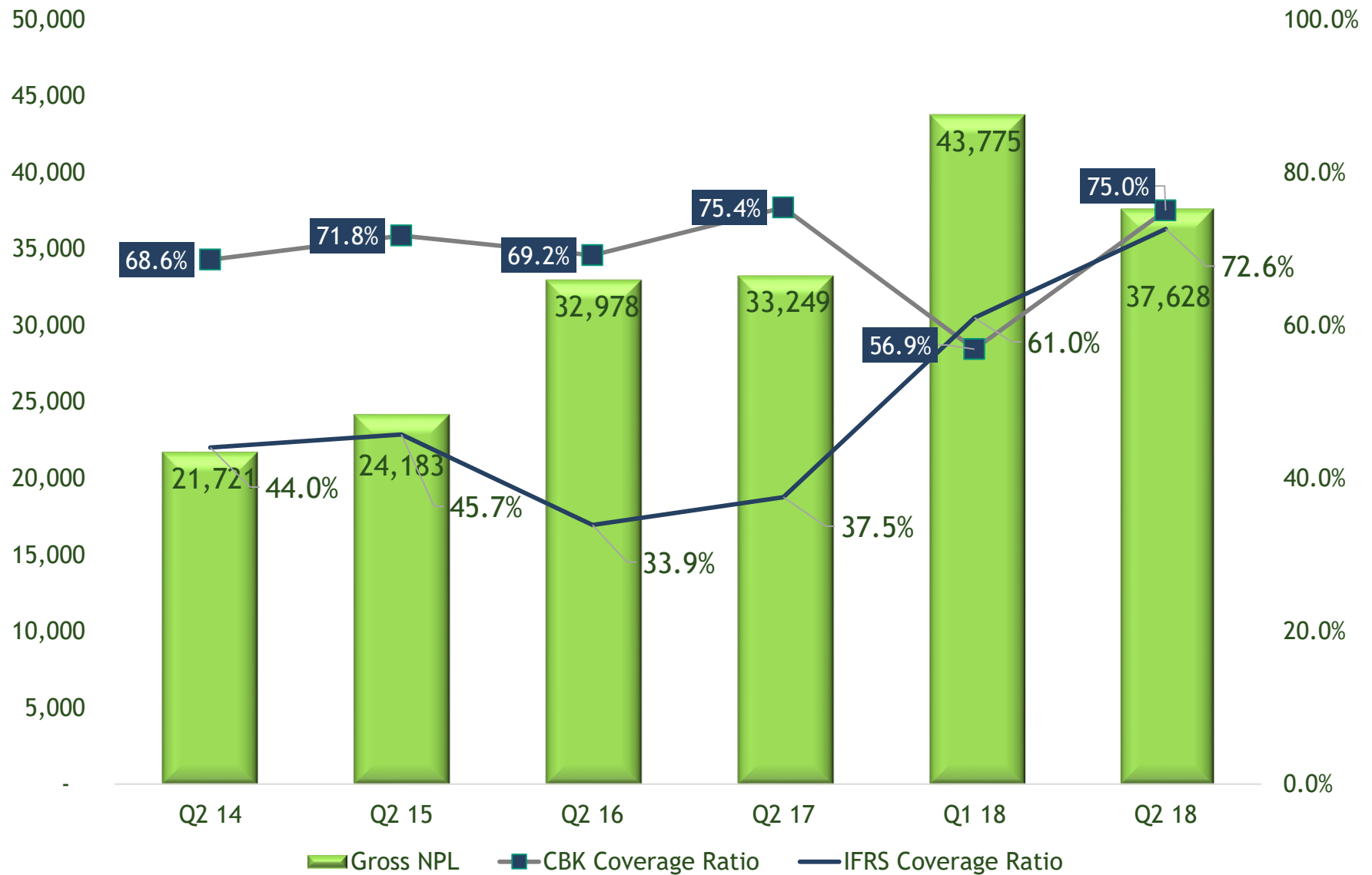
\* Group gross loans KShs.B



# NPL Migration and Concentration

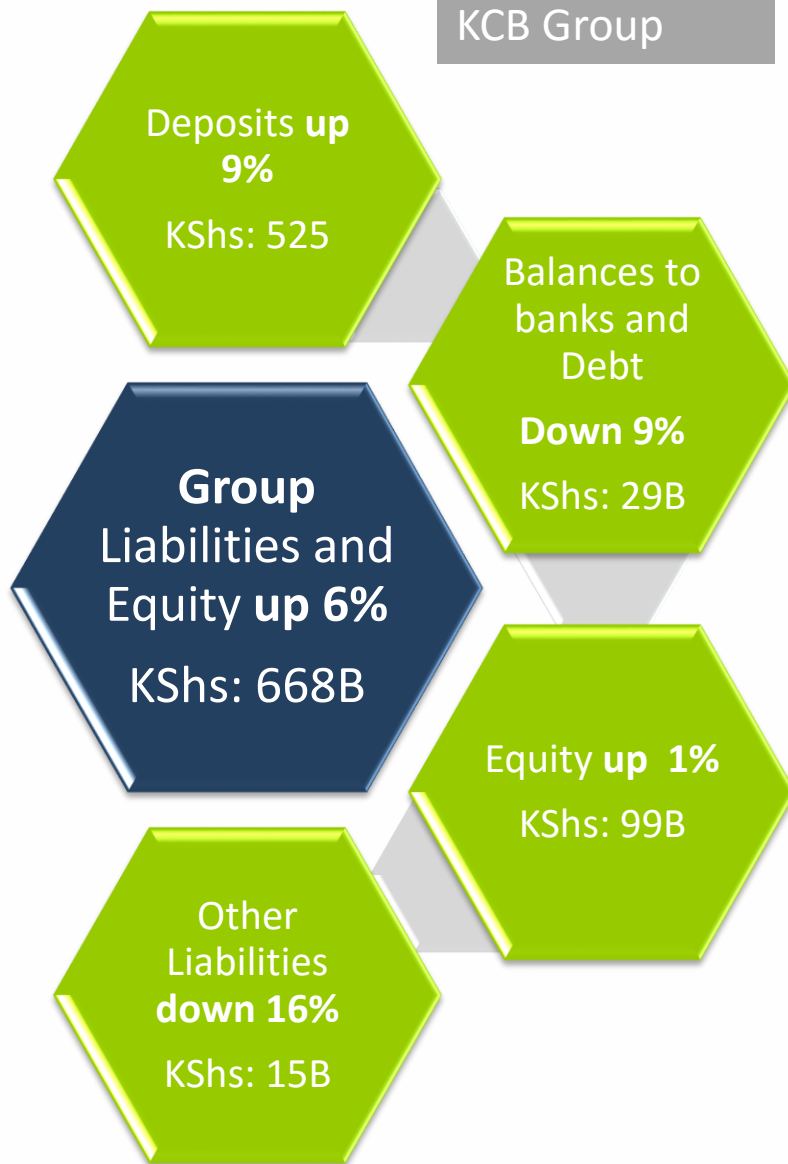


# Good Improvement in coverage

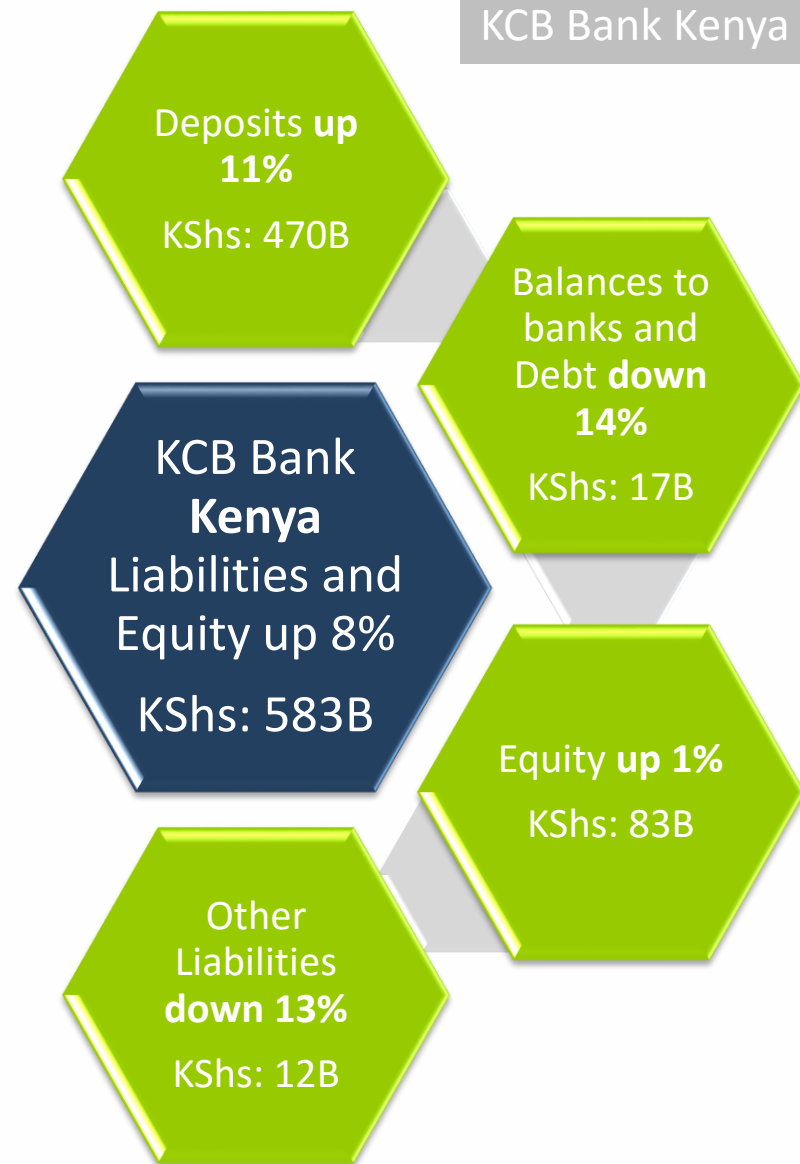


# Healthy funding from deposits

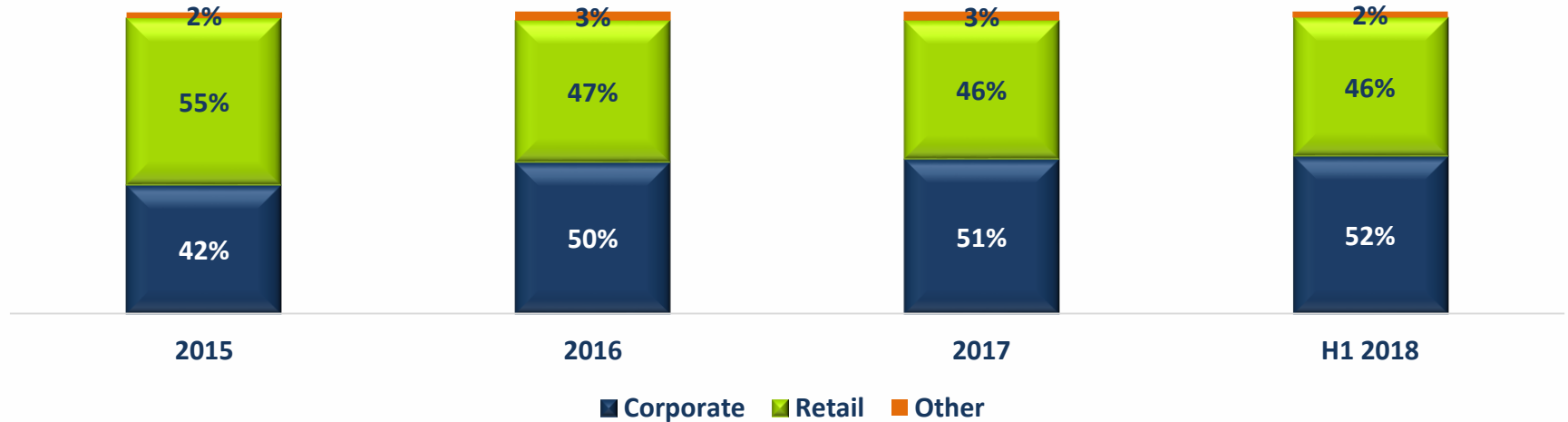
## KCB Group



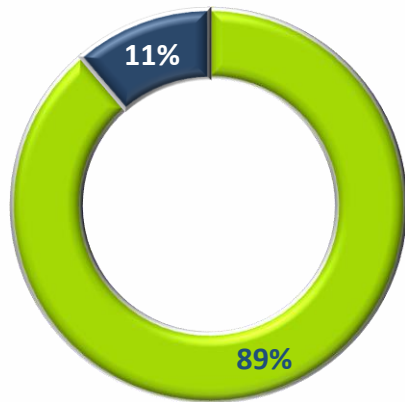
## KCB Bank Kenya



# Balanced deposit mix

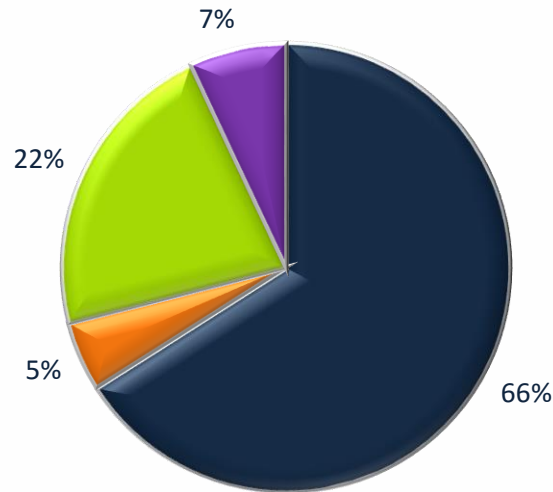


Currency Mix



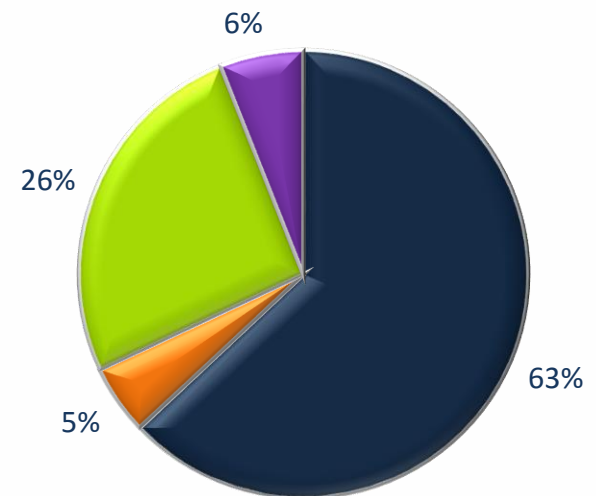
LCY FCY

Deposits by Type H1 2017



Demand Savings Term Call

Deposits by Type H1 2018



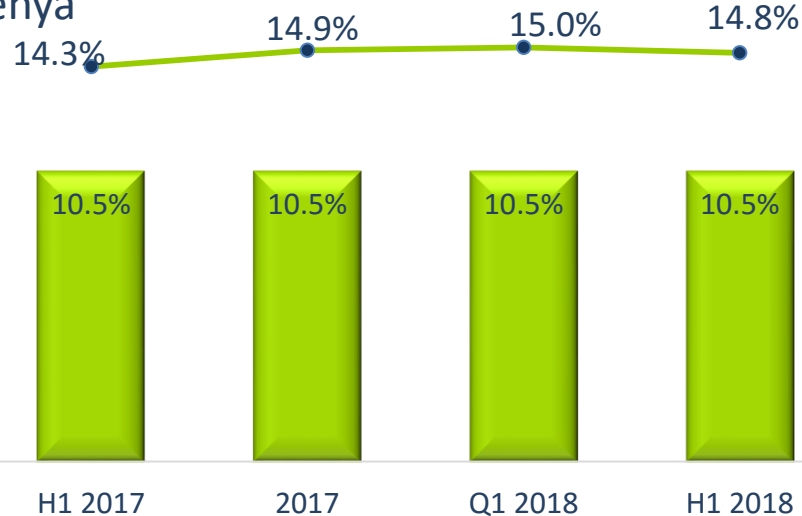
# Strong capital position

## Core Capital to RWA

### Group

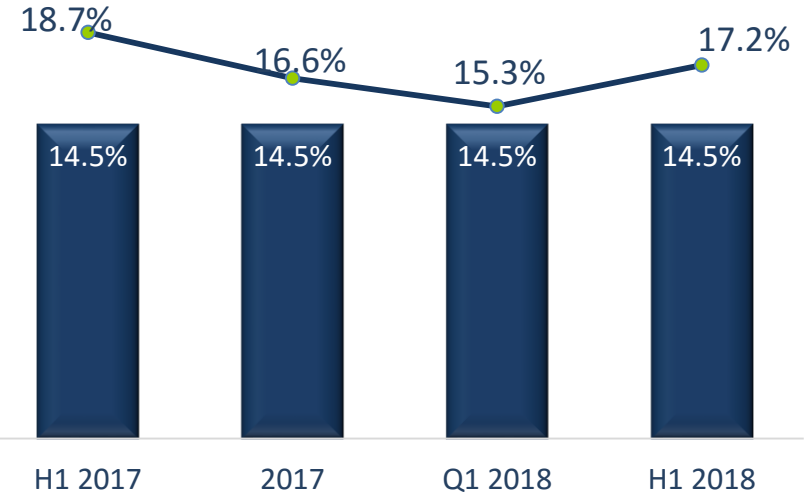


### Kenya

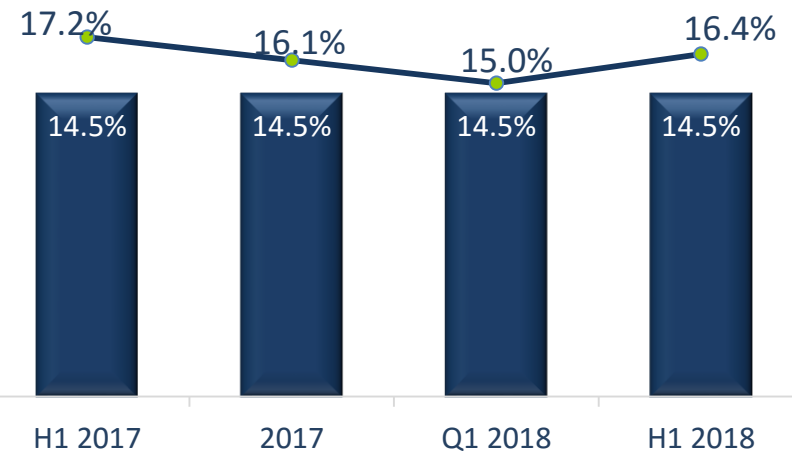


## Total Capital to RWA

### Group



### Kenya



# Resolute strategy delivers 6% balance sheet growth

| KShs Billions                                | KCB Group         |                   |                 | KCB Bank Kenya    |                   |                 |
|----------------------------------------------|-------------------|-------------------|-----------------|-------------------|-------------------|-----------------|
|                                              | Actual<br>H1 2017 | Actual<br>H1 2018 | Y-O-Y<br>Change | Actual<br>H1 2017 | Actual<br>H1 2018 | Y-O-Y<br>Change |
| Cash and balances with central bank          | 29.9              | 37.3              | 25%             | 25.3              | 34.7              | 37%             |
| Balances with other institutions             | 44.7              | 49.8              | 11%             | 12.7              | 25.4              | 100%            |
| Investments in Government & Other securities | 115.8             | 112.5             | (3%)            | 101.8             | 96.8              | (5%)            |
| Net loans and advances                       | 407.0             | 421.5             | 4%              | 373.8             | 386.6             | 3%              |
| Fixed assets                                 | 9.6               | 10.5              | 9%              | 6.1               | 7.4               | 22%             |
| Other assets                                 | 23.6              | 36.0              | 53%             | 20.3              | 31.9              | 57%             |
| <b>Total Assets</b>                          | <b>630.6</b>      | <b>667.7</b>      | <b>6%</b>       | <b>540.0</b>      | <b>582.7</b>      | <b>8%</b>       |
| Customer Deposits                            | 482.8             | 524.9             | 9%              | 423.7             | 470.3             | 11%             |
| Balances due to other banks                  | 15.4              | 8.6               | (44%)           | 8.2               | 0.3               | (97%)           |
| Other liabilities                            | 17.3              | 14.5              | (16%)           | 13.7              | 11.9              | (13%)           |
| Long-term debt                               | 16.7              | 20.7              | 24%             | 12.0              | 17.1              | 43%             |
| <b>Total Liabilities</b>                     | <b>532.3</b>      | <b>568.7</b>      | <b>7%</b>       | <b>457.6</b>      | <b>499.5</b>      | <b>9%</b>       |
| Shareholders' Equity                         | 85.7              | 98.1              | 14%             | 70.8              | 83.2              | 17%             |
| Statutory loan loss reserve                  | 12.6              | 0.9               | (93%)           | 11.6              | -                 | (100%)          |
| <b>Total Liabilities and Equity</b>          | <b>630.6</b>      | <b>667.7</b>      | <b>6%</b>       | <b>540.0</b>      | <b>582.7</b>      | <b>8%</b>       |

# 18% Growth in Earnings

| KShs Billions                  | KCB Group         |                           |                 | KCB Bank Kenya    |                           |                 |
|--------------------------------|-------------------|---------------------------|-----------------|-------------------|---------------------------|-----------------|
|                                | Actual<br>H1 2017 | <b>Actual<br/>H1 2018</b> | Y-O-Y<br>Change | Actual<br>H1 2017 | <b>Actual<br/>H1 2018</b> | Y-O-Y<br>Change |
| Interest Income                | 30.4              | <b>32.2</b>               | 6%              | 27.2              | <b>28.9</b>               | 6%              |
| Interest Expense               | (7.2)             | <b>(8.1)</b>              | 12%             | (6.0)             | <b>(6.9)</b>              | 16%             |
| Net interest income            | 23.1              | <b>24.1</b>               | 4%              | 21.2              | <b>21.9</b>               | 3%              |
| Foreign exchange income        | 2.6               | <b>2.8</b>                | 7%              | 1.5               | <b>1.3</b>                | (16%)           |
| Net fees and commissions       | 7.2               | <b>6.8</b>                | (6%)            | 5.3               | <b>5.4</b>                | 2%              |
| Other income                   | 1.6               | <b>1.9</b>                | 15%             | 1.0               | <b>1.7</b>                | 64%             |
| Total other operating income   | 11.5              | <b>11.5</b>               | 0%              | 7.9               | <b>8.4</b>                | 6%              |
| Total other operating expenses | (17.9)            | <b>(17.7)</b>             | (1%)            | (13.7)            | <b>(13.8)</b>             | 0%              |
| Provisions for bad debts       | (2.0)             | <b>(0.8)</b>              | (59%)           | (1.6)             | <b>(0.7)</b>              | (55%)           |
| Profit before tax              | 14.8              | <b>17.1</b>               | 16%             | 13.8              | <b>15.8</b>               | 15%             |
| Tax                            | (4.5)             | <b>(5.0)</b>              | 11%             | (4.1)             | <b>(4.7)</b>              | 13%             |
| Profit after tax               | 10.3              | <b>12.1</b>               | 18%             | 9.6               | <b>11.1</b>               | 16%             |



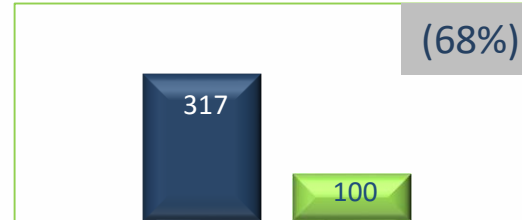
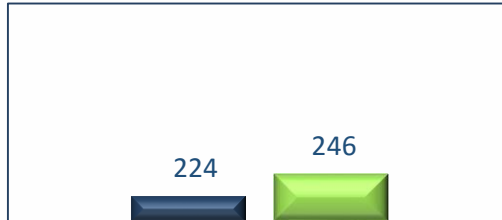
# 25% growth in International Business PBT

KShs. M

Net loans & Advances

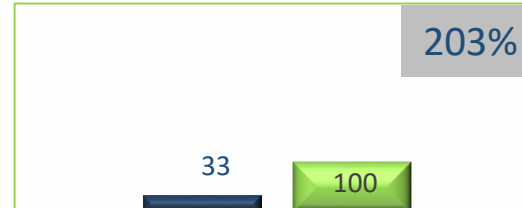
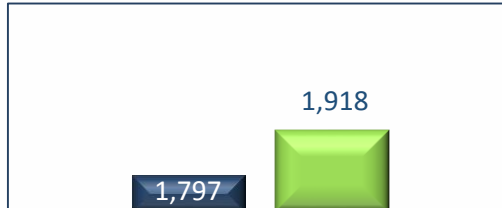
PBT

KCB Bank  
South  
Sudan



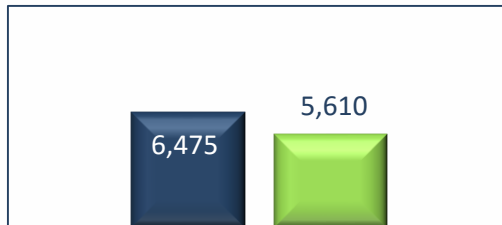
(68%)

KCB Bank  
Burundi



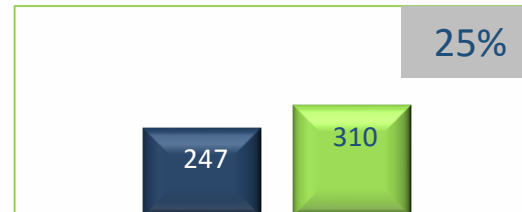
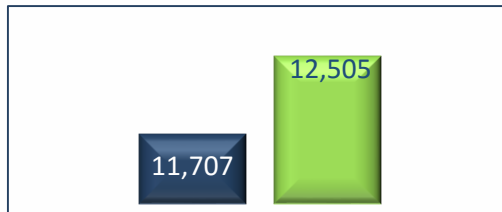
203%

KCB Bank  
Uganda



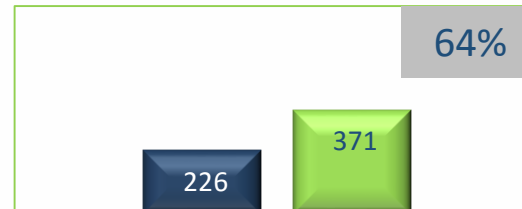
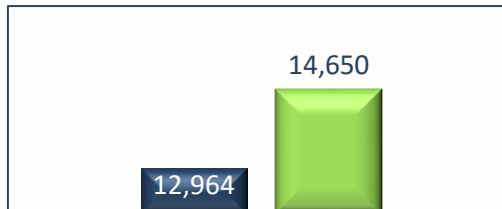
164%

KCB Bank  
Rwanda

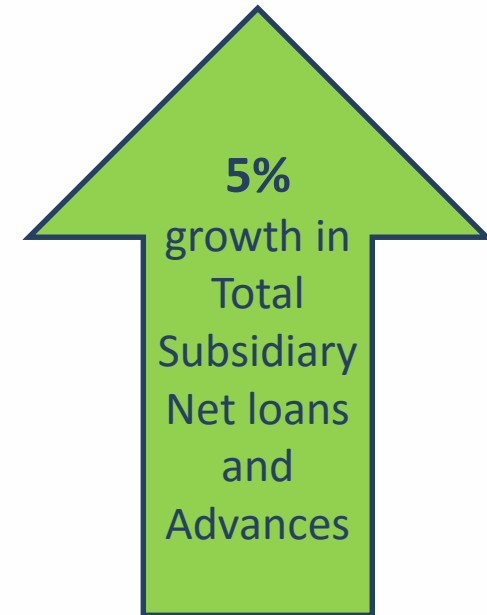


25%

KCB Bank  
Tanzania



64%



H1 2017

H1 2018

# Overview of Key Financial Ratios

| Q2 17 | FY17  | Q1 18 |                                   | KENYA | GROUP |
|-------|-------|-------|-----------------------------------|-------|-------|
| 23.6% | 19.5% | 20.2% | Return on Average Equity          | 26.1% | 23.5% |
| 51.8% | 46.2% | 48.3% | Cost to Income                    | 45.4% | 48.2% |
| 7.8%  | 8.5%  | 9.8%  | Gross NPL to Gross Loans          | 8.5%  | 8.4%  |
| 75.4% | 75.4% | 56.9% | NPL Coverage                      | 72.9% | 75.0% |
| 14.5% | 14.0% | 22.6% | Debt to Equity                    | 20.6% | 20.9% |
| 33.5% | 32.2% | 32.7% | Non funded income to total income | 27.7% | 32.3% |
| 2.9%  | 3.0%  | 3.2%  | Cost of funds                     | 3.0%  | 3.0%  |
| 8.4%  | 8.9%  | 8.2%  | Net Interest Margin               | 8.4%  | 8.3%  |
| 1.0%  | 1.5%  | 0.6%  | Cost of risk                      | 0.4%  | 0.4%  |
| 86.9% | 85.1% | 84.3% | Loan to Deposit Ratio             | 87.7% | 85.5% |
| 19%   | 10%   | 6%    | Growth of Net Loans and Advances  | 7%    | 4%    |
| 16%   | 11%   | 9%    | Growth of Customer Deposits       | 11%   | 9%    |

# Interim Dividend

Following these results, the Board of Directors approved payment of an interim dividend of KShs: 1.00 per share.

The dividend will be paid on or about Friday, 30 November, 2018, to shareholders registered at the close of business on Monday 3 September, 2018.

Thank you.

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